TRANSELECTRIC S.A.
Compañía Nacional de Transmisión Eléctrica

SECRETARIA GENERAL

MEMORANDO No. 09-00
Quito, febrero 1 del 2000

PARA: Ing. Gustavo Bermúdez F.
PRESIDENTE EJECUTIVO

DE: Dr. Hugo A. Salvador Zambrano
SECRETARIO GENERAL

ASUNTO: COMISION DE SERVICIO AL EXTERIOR

El Directorio de TRANSELECTRIC S.A., en sesión del 27 de enero del presente año, acogió el pedido del Memorando PE-078-00 de 27 de enero del 2000 y, por consiguiente resolvió autorizarle el viaje a Londres, vía Estados Unidos, en comisión de servicio, en su calidad de Presidente Ejecutivo de TRANSELECTRIC S.A., del 5 al 14 de febrero del 2000, tentativamente, con los viáticos establecidos en el Reglamento pertinente, para que gestione ante los reaseguradores y ajustadores internacionales, la recuperación de valores por los siniestros de los autotransformadores de las Fases A, C y (reserva)R de la Subestación Pascuales y la confirmación en Londres sobre el pago de S/. 5.303'950.000 (Autotransformador fase B, S/E Trinitaria); viaje que lo realizará en compañía del Ingeniero Carlos Quevedo, Gerente de SEAJUSTE, Compañía contratada para el seguimiento de este proceso. Los gastos que demande el viaje y estadía del Ingeniero Quevedo, serán de cuenta de TRANSELECTRIC S.A.

Particular que le comunico para los fines consiguientes.

Dr. Hugo A. Salvador Zambrano
SECRETARIO GENERAL

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PRESIDENCIA EJECUTIVA

Oficio No. PE- 0304
Quito, 28 de marzo de 2000

Mr.
Ken Kavanagh
ENERGY CLAIMS DIVISION
AON GROUP LTD.
London

Ref.: a) All Risk Electric Industry Insurance Policy No. TRIE-00100
b) All Risk Electric Industry Breakdown Machinery No. RM-0005

Insurance Company: Progreso Compania de Seguros y Reaseguros S.A. (Ecuador)
Assured : Instituto Ecuatoriano de Electrificacion INECEL
Modified endorsement:
It will be considered as assured the INECEL en Proceso de Liquidacion (in process for a liquidation) and/or Fondo de Solidaridad (Solidarity Fund) and/or Generations and Transmission Companies the Electric Sector, It is stablished as "Generations and Transmission Companies of the Electric Sector" exclusively to the following institutions: Hidropaute S.A.; Hidroagoyan S.A.; Hidropucara S.A.; Termoesmeraldas S.A.; Termopichincha S.A.; Electroguayas S.A. and Transelectric S.A.

Transelectric S.A. , like an assured company, shows a formal complaint for the irregular situations that has been receiving by Progreso Compania de Seguros as well as the international adjusters that were named by you, in what handling the claims and to the payment for the indemnizations, we have not received and will not receive a good and professional attention. It is important to know that Transelectric S.A. has fulfilled the premium payments, and it is an obligation for the insurance company to pay all the supported claims that we have presented directly and/or through Fondo de Solidaridad (Solidarity Fund), as well as the insurance company as for the Axis international adjusters.

Transelectric S.A. feeling directly harmed and based on what was declared, Transelectric Directery made up with the representatives of Fondo de Sclidaridad (Solidarity Fund), autorized the trip for the Executive President who is a legal reprssentative and the Legal Assistant, together with the Seauste General Manager, sinisters's adjusters, company that was hired for the corresponding consulting and technical-administrative assistance by the end of September 1999, to solvs the problems of the claims presented to the insurance companies.

In order to keep a work meeting, we have to consider the following points:

1. Autetransformer claim, phase B Pascuales Instalation, damage occured on May 18,1997. (Axis Report No.
1.1. Acting of the local adjusters named by the insurance company and his support to the Axis adjusters.
1.2. Acting the Axis Adjusters named by the reinsurers.
1.3. Preliminary Statement of Loss presented by Axis adjusters.
1.4. Pact decription and acting of the Insurance Company
1.5. Payment done by the reinsurers/underwriters.
1.6. Fideicommissum gived by the insurance company
1.7. Statement of Loss and adjustment.

2. Central Hidroelectrica Paute-Guarumales Claim, damage ocurred on april 18, 1998.
2.1. Asting of the Mendes & Mount,LLP and Cunningham Lindsey international adjusters in the corresponding claim release and adjustment.
2.2. Chronological exposition of the facts and acting of the Seguros Progreso.
2.3. Payment done by the reinsurers/underwriters
2.4. Fideicommissum gived by the insurance company.

3. Autotransformers bank claim at the Pascuales Substation (phase A,C and Reserve), damage ocurred on september 28,1997. (Axis Report No. M97279)
3.1. Acting of the local adjusters named by the insurance company and his support to the Axis adjusters.
3.2. Acting of the Axis adjusters named by the reinsurers.
3.3. Preliminary Statement of Loss presented by Axis adjusters.
3.4. Exposition of facts and acting of the insurance company.
3.5. Application of the Cut Through Clause.
3.6. State of loss and adjustment.

4. Indemnization and payment of the claims adjusted by Mendes & Mount,LLP and Cunningham Lindsey (attached 1)

5. Designation of the local and international adjusters for the claims/damages supported by the new All Risk policy hired with ACE insurance company.

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As a result of the meeting Transelectric S.A. wants to get to an agreement that might satisfy both sides, deducing among the conclusions to determine the necessity to maintain a work meeting with the Axis adjusters, whom we later will deeply discuss the technical support of the damaged autotransformers , its value and the final Statement of loss; the named staff will be eager to travel to the Axis offices in Miami along with the factory technitians of the damaged autotransformers.

Transelectric S.A. declares to reserve the right to take any local and foreign legal action if necessary, it can be against Peguros Progreso as well as the adjusters, declaring that it is not what we want, for this reason and with the support of the application of the Cut Through Clause and as an assured company, we want it to act as occurred in the claims which are given in details in the attached the Settlement Agreement and Release Act, stating the desire of collaboration from Mendes & Mount,LLP and Cunningham Lindsey adjusters to solve the claims and to proceed with the payment.

I will appreciate you granting us the appointment to the meeting which will be held during the second week of april.

Please let us to know as soon as possible to our fax No. 593-2-231346.

Aon Group Ltd. and Aon Group Ecuador continue to be the reinsurance brokers, therefore, Transelectric S.A. and the Generations assured companies wishes to have a better communication and service with both.

Regards,

Eng. ~~Gustavo~~ Bermudez F
Executive President
TRANSELECTRIC S.A.

cc: Ing. Luis Mancero, Presidente del Directorio de Transelectric S.A., representante del Fondo de Solidaridad
Ing. Rene Morales, Presidente Ejecutivo Hidropaute S.A.
Dra. Maritza Rodriguez, Mendes & Mount,LLP (New York)
Ing. Peter Ravey, Cunnningham Lindsey (Caracas)
Sr. Frank De Lessio, Axis Internacional (Miami)
Sr. Ivan Wollmann, Aon Group Ecuador
Ing. Juan Carlos Jimenez, ABB Transformadores (Colombia)
Ing. Carlos Quevedo, Seajuste S.A.

NOTARIA DECIMO QUINTA
QUITO - ECUADOR

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